

The FAI and Merger/Acquisition Governance Boundary

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Attribution

This work derives from and formalizes the inter-Self coordination architecture introduced in “Inter-Self Coordination via Shared Substrate / Full Aspect Integration” (Li, April 2026), the third paper in the CKS theory series following “Coordination Outside the Model: A Human-Governed Substrate Pattern for AI Systems” (Li, April 2026) and “The Instinct/Reasoning Separation Outside the Model” (Li, April 2026).

Abstract

Full Aspect Integration (FAI) is the canonical operation by which two or more CKS-governed Selves coordinate across their home governance perimeters through a shared substrate. A question that arises in applying this architecture is how FAI governance relates to the governance of organizational mergers, acquisitions, and permanent integrations — and specifically when, if ever, a FAI event crosses into the merger/acquisition (M&A) governance domain. This note formalizes the boundary. The definitive criterion is governance authority preservation: FAI preserves both participating Selves’ independent governance authority throughout the event, whereas M&A governance involves the absorption of one governance authority into another. The boundary is independent of content depth — the amount of coordination pattern sharing, DNA absorption, or collaboration duration does not determine whether an arrangement is FAI or M&A. Only the governance authority question does. Three scenarios are analyzed against the criterion. A boundary test is stated for operational use. The note additionally establishes that FAI can legitimately support M&A due diligence without itself being an M&A governance event, and that deep, long-term FAI collaboration without governance authority absorption is FAI regardless of its depth.

1. The boundary question

FAI architecture enables two or more CKS-governed Selves to share aspects through a temporarily constructed shared substrate, coordinate under joint authority across their home governance perimeters, and dissolve the shared substrate at event conclusion while each Self retains its independent home governance. The architecture explicitly commits to the preservation of each participating Self’s home governance perimeter throughout the event.

When two organizations consider whether to merge or acquire one another, their AI governance architectures become a subject of organizational and legal deliberation. This raises a boundary question: does the CKS/FAI architecture have anything to say about that deliberation, and is there any configuration of FAI-mediated coordination that crosses from FAI governance into M&A governance? The question is practically significant because organizations may use shared-substrate coordination mechanisms during merger transitions, and adversarial claims about AI governance integration for organizational combinations must be assessed against whether the architecture being used is FAI (inter-Self coordination with governance authority preserved) or something else.

This note resolves the boundary by identifying the single architectural criterion that separates the two domains.

2. The boundary scenario: three configurations

Three organizational configurations illustrate the boundary terrain.

Configuration A — Unambiguous FAI. Two independent organizations deploy CKS-governed Selves and agree to share specific aspects for ninety days for a defined coordination purpose. Each organization retains full governance authority over its home substrate throughout. At the end of the period, the shared substrate is dissolved, evolution outputs are ingested at each home perimeter under per-perimeter governance, and the two Selves continue under their independent governance structures.

Configuration B — FAI mechanisms used for integration purposes. One organization acquires another. During the post-acquisition transition, the acquiring organization establishes a shared substrate through which governance migration is coordinated. The intent — known to all parties — is that the acquired organization’s governance structure will ultimately be absorbed into the acquirer’s governance architecture. The shared substrate is a transitional instrument in a process whose endpoint is one governance authority, not two.

Configuration C — Deep, sustained collaboration. Two organizations conduct many FAI events over several years. They share aspects extensively. Each ingests governance patterns, orchestration rules, and coordination DNA from the other through Paper 3’s four-locus evolution-feed mechanism. Over time, each organization’s governance architecture shows substantial influence from the other’s. Throughout this entire period, however, both organizations retain independent governance authority over their own home substrates, operate their own governance processes, and neither governance structure has been absorbed into the other’s.

Which of these configurations is FAI?

3. The architecture’s resolution: governance authority preservation

The CKS/FAI architecture resolves the boundary through a single criterion: **governance authority preservation**.

FAI requires that both (or all) participating Selves' governance authorities remain independent throughout the event. Neither Self's governance authority is absorbed into the other's during the FAI event. The shared substrate operates under joint authority — a coordination layer across the participating Selves' home perimeters — but joint authority over the shared substrate is not merger of home governance authorities. Each home governance perimeter remains intact. The shared substrate adds a coordination layer above the home perimeters; it does not collapse the home perimeters into a single unified perimeter.

This is what the CKS architecture means when it commits to the inter-Self perimeter spanning distinct Selves' home governance perimeters: the shared substrate's perimeter is additive, not substitutive. The prior-paper additive perimeter property ensures that FAI adds an inter-Self governance layer without replacing or absorbing home governance. An arrangement that uses FAI mechanisms to transition one governance authority into another is not operating within FAI governance — it is applying FAI mechanisms to M&A purposes.

The definitional boundary is therefore not about content: not about how many aspects are shared, not about how deeply governance patterns are absorbed through evolution, not about how long the collaboration continues, and not about how similar the two Selves' governance architectures become as a result of sustained FAI participation. The boundary is solely about governance authority: do both independent governance authorities persist throughout and after the shared-substrate period?

4. Applying the criterion to the three configurations

Configuration A is unambiguous FAI. Both governance authorities are preserved throughout the ninety-day period. The dissolution of the shared substrate leaves each organization's home governance exactly as independent as before. The temporary nature of the event, the domain-scoped sharing, and the retention of independent governance at each home perimeter are all consistent with FAI's architectural definition.

Configuration B is not FAI — it is M&A governance using FAI mechanisms. The determinative fact is not that a shared substrate is used, nor that the mechanisms of FAI (aspect contribution, inter-Self coordination, evolution-feed ingestion) are deployed. The determinative fact is that the intent and trajectory of the arrangement is the absorption of one governance authority into another. After the shared-substrate period, there will not be two independent governance authorities — there will be one. The architectural test fails at the governance authority question. Using FAI's technical machinery for M&A governance purposes does not make the arrangement FAI. FAI is a governance architecture, not merely a set of coordination mechanisms; the governance commitment is constitutive.

It should be noted that this does not mean the technical machinery of CKS and FAI is unavailable for use in M&A contexts. Organizations undertaking M&A transitions may find CKS substrate mechanisms useful for governance migration coordination. The point is that such use is outside the

scope of FAI governance — it operates under M&A governance norms, M&A regulatory frameworks, and M&A legal structures, even if the underlying technical mechanisms share architectural shape with FAI.

Configuration C is FAI, regardless of collaboration depth. This is the most architecturally significant of the three cases, and the one where the prior-art boundary does the most work.

Extensive FAI participation — years of shared-substrate events, deep DNA absorption, substantial mutual influence on governance architectures — does not constitute organizational merger or governance authority absorption. Organizations can learn extensively from each other through FAI. They can absorb each other’s orchestration patterns, governance rules, and coordination DNA into their home substrates through Paper 3’s evolution-feed mechanism, under their respective home governance authorities. They can become deeply similar in how their AI governance operates. None of this crosses the boundary into M&A governance, because neither governance authority has been absorbed into the other. Each organization still controls its own home substrate. Each organization’s governance structure still exercises independent authority over its own AI operations. The fact that those operations now show extensive influence from the other organization’s patterns is architecturally irrelevant to the governance authority question.

This matters for the prior art because it establishes that depth of collaboration and extent of pattern exchange are not proxies for organizational integration. An adversarial claim that long-running, deeply collaborative FAI participation constitutes merger — or should be treated as equivalent to merger for governance purposes — fails against this criterion. The criterion is governance authority, not collaboration depth, and the prior art explicitly preserves the latter without the former.

5. What FAI cannot do: the governance authority preservation commitment

The foregoing makes explicit a commitment that is implicit in Paper 3’s architecture: FAI cannot produce the dissolution of a participating Self’s home governance authority as an output.

This is not merely a default that governance configuration can override. It is a structural property of what FAI is. If the event concludes with one governance authority absorbed into another, the event was not FAI — it was something else that used FAI mechanisms. The additive perimeter property (the shared substrate adds a governance layer across the home perimeters without replacing them) and the home perimeter integrity commitment (each Self’s home perimeter remains intact throughout) jointly foreclose this possibility within the FAI architecture.

This commitment also clarifies what “joint authority” over the shared substrate means. Joint authority is authority over the shared substrate’s configuration, orchestration, and outputs — it is not joint authority over either participating Self’s home substrate. The participating Selves each retain exclusive governance authority within their own home perimeters. The shared substrate is jointly governed; the home substrates are independently governed. These are not in tension; they are two levels of a governance architecture that is explicitly designed to operate across organizational

boundaries while preserving organizational independence.

6. FAI for M&A; due diligence: a legitimate use within prior art

The FAI/M&A boundary does not make FAI and M&A governance mutually exclusive. FAI can legitimately and productively serve M&A processes, specifically at the due diligence stage.

Two organizations considering whether to merge can establish a cooperation FAI event — a shared substrate through which they exchange aspects for the purpose of assessing governance compatibility. How well do the two organizations' orchestration patterns compose? Where do conflicts arise in the shared substrate, and how are they handled through the three-tier mechanism? What does the evolution-feed produce when each organization's aspects are placed in contact? These are governance compatibility questions, and a time-bounded FAI event is a principled instrument for surfacing the answers.

This use is squarely within the FAI prior art. It is a cooperation FAI event with a due-diligence purpose. Both governance authorities remain independent throughout. The shared substrate is dissolved at event conclusion. The outputs feed each organization's home evolution machinery under home governance.

The merger decision — the organizational and legal determination that the two organizations should become one — is a decision made outside FAI governance. It is made by the humans holding governance authority at the organizational and legal level, informed by everything the due-diligence FAI event produced but not constituted by it. The FAI event supports the decision; it does not make the decision, and it does not itself constitute the integration the decision concerns.

The subsequent integration — governance migration, authority consolidation, substrate unification — proceeds under M&A governance norms, not FAI governance, even if CKS-derived technical mechanisms are used along the way.

FAI for M&A due diligence is therefore a legitimate, clearly bounded use case within the prior art. The claim that FAI and M&A are entirely separate governance domains does not imply that FAI has no role in M&A processes; it implies that FAI's role ends at the point where governance authority absorption begins.

7. Boundary test

The operational test for whether a given arrangement is FAI or M&A governance:

At the conclusion of (or at any point during) the shared-substrate period, ask: Are there still two (or more) independent governance authorities — one per participating Self — each exercising full authority over its own home substrate?

If YES: The governance authority preservation commitment is satisfied. The arrangement is within FAI governance scope regardless of how much content has been shared, how long the collaboration

has continued, or how similar the participating Selves' governance architectures have become.

If NO (one governance authority has been absorbed into or subsumed by another): The arrangement has crossed into M&A governance, regardless of whether FAI mechanisms were used to reach that state. The event's character is determined by its governance authority outcome, not by the technical mechanisms deployed.

This test is binary. Partial authority absorption — arrangements in which one Self has material governance influence over another's home substrate without fully absorbing it — falls outside FAI governance to the extent that the home perimeter integrity commitment is violated, and the degree of violation determines how far outside FAI the arrangement has traveled.

Source papers

Li, W. (2026a). *Coordination Outside the Model: A Human-Governed Substrate Pattern for AI Systems*. April 2026. ORCID: 0009-0004-8065-3235.

Li, W. (2026b). *The Instinct/Reasoning Separation Outside the Model*. April 2026. ORCID: 0009-0004-8065-3235.

Li, W. (2026c). *Inter-Self Coordination via Shared Substrate / Full Aspect Integration*. April 2026. ORCID: 0009-0004-8065-3235.

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